Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Armando Giner -
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Gary Prince - Former Deputy President of BBU
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board

Analysts
Akshay S. Jagdale - Director and Equity Research Analyst
Alexander Reid Robarts - Managing Director and Head of Latin American Consumer Staples Equity Research Team
Fernando Ferreira - Director
Luis Miranda Valenzuela - Head of Food and Beverage
Miguel Mayorga -
Nikolaj Lippmann - Equity Analyst
Sambuddha Ray - Research Analyst
Unknown Analyst -

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's Fourth Quarter 2012 Results Conference Call. If you need a copy of the press release issued yesterday and a copy of the presentation, both are available on the company's website at www.grupobimbo.com/ir.

Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Hello, everyone, and thank you for joining us this morning. With me here today are members of the finance team, our CFO, Guillermo Quiroz; as well as Fred Penny, the Executive Vice President of BBU.

I assume that most of you have already reviewed the earnings release, so rather than the usual region by region review of results. Today, I would like to focus on the key issues and underlying trends behind our performance in the period. We will also share some outlook for 2013 and as usual, take any questions you may have at the end.

Our performance in the quarter was mixed. We have been saying for some time that 2012 will be a transitional year in terms of integrating acquisitions and investing in our low-cost production profile, and

doing so at a time when consumer demand was still weak in key markets. So in that regard, we're pleased that consolidated performance in the fourth quarter showed healthy volume growth with a rise in net sales and a rebound on the profit before other income and expenses line.

By region, the Mexican market continues to deliver good performance in volume, improved sales execution, steady growth and solid operational performance. The United States was the highlight in the fourth quarter.

Let me walk you through the factors behind the rebound at BBU. First, on the sales side, volumes continue to trend positively quarter-to-quarter, with sweet baked goods and breakfast categories outperforming in the period.

In the fourth quarter, we implemented a pricing initiative to offset commodities' higher cost, and we also saw improvement in volume resulting from the change in the industry.

These factors, combined with the contribution from Sara Lee for 1 month, led to an 11% growth in dollar terms.

On the operation side, our productivity initiatives are on track and progressing. That, combined with integration synergies driven by more efficient use of assets and headcount optimization, have yielded $120 million in annualized benefits. We will continue to invest in modernizing our manufacturing platform and expanding our distribution footprint.

Integration onetime-related expenses totaled approximately $120 million in 2012 as planned. As you might note, we're building 2 state-of-the-art plants, one in Rockwall, Texas and the other in Lehigh Valley, Pennsylvania, that will be operating this year.

So overall, we're pleased with the performance this year and feel confident about the position the new BBU is taking in the current market environment. I anticipate building on our momentum this year as our integration efforts progress. We leverage a common IT platform, continue with our waste reduction initiatives and maintain a targeted focus on category growth.

Moving on to Latin America. We had a double-digit volume growth in some of our markets with solid sales and operating results across most of the region. The exception was Brazil, which has the most impact on regional performance and where results are clearly not meeting our expectations. Sales momentum in that market had already been slowing for most of the year due to the weaker consumption environment in the country. These led to lower absorption of fixed costs and a negative impact on our margin.

We had an unsatisfactory performance. We have undertaken a turnaround process starting with a change in management. This new team will take on comprehensive restructuring process that will focus most notably on revamping our IT systems and strengthening our distribution model, particularly in the small store channel. As part of this process, we decided to register 2 onetime non-cash charges in the quarter: the first related to the restructuring of the distribution network and the second were cancellation of deferred income tax benefits. We believe these measures are an important step in getting the operation back on track to where it should be. It is important to note about our business in Brazil.

We have a healthy market share and strong brand positioning. Consumers clearly value our products, and there is a significant opportunity for increasing our market penetration, making it a strong, profitable business.

In terms of our consolidated financial position, we continue to pursue our target leverage ratios. We paid down almost MXN 3 billion of liabilities over the course of 2012, bringing our debt-to-EBITDA ratio to 2x to 3x from 3.3x by the end of 2011. We expect a further reduction over the course of 2013 with our approach through cash management.

Looking ahead more broadly into 2013, we still face some uncertainty in the consumer environment, particularly in markets like Spain, Portugal and Brazil. And gross margins are likely to come under pressure with the rising commodity prices. That said, we expect sales strengths to continue their positive trajectory and that our integration efforts, combined with continued operational improvements, will generate healthier margins going forward.

Let me outline in broad terms the areas we will be focusing on. One, debt reduction; two, turnaround of the Brazil and Iberia operations; three, advancing the integration of Fargo in Argentina and Sara Lee in the U.S. while capitalizing our momentum in the U.S. market; fourth, implementing waste reduction initiatives company-wide as part of our broader goal of becoming a low-cost operator; and finally, addressing some of the external risk factors, such as commodity movements, where purchasing and hedging policies play a role as well as emerging consumer trends that our R&D teams are looking at.

In conclusion, we're looking ahead with measured optimism, a year of continued growth and stronger operational performance.

I want to end by sharing with you that Fred Penny, starting in June 1, will become the new President of BBU, and Gary Prince, who has served as Head of the U.S. Operations over the past 4 years, will become a Senior Vice President of Grupo Bimbo, reporting directly to me. We wish both Fred and Gary all the best in their new responsibilities.

That concludes my remarks this morning, and at this point, we're ready for the question-and-answer session.

Question and Answer

Operator
[Operator Instructions] The first question is from Nikolaj Lippmann of Morgan Stanley.

Nikolaj Lippmann
A couple of questions, if I may. First, I was wondering if you could give a little more color on the change in management in the United States. What is the role that Gary will have going forward? If you can give any sort of background on that change, one. Two, you're clearly doing better in the United States. We saw in your post or around the Hostess exit that pricing seems to be doing better, promotional activity is coming down in the U.S. market. Can you give a sense if you're seeing a continuation of the decline in promotional activity for January, February? Those would be my questions.

Daniel Javier Servitje Montull

Thank you, Nikolaj. I'll answer the first question, and I'll defer the second one to Fred. Gary has been in the industry for over 40 years, and he wants more time to focus on family and himself. And we feel -- believe that he has a lot to offer to GB as he does, and he will be engaged more specifically in strategic work in the U.S. and international -- internationally. And it's going to be more a strategic role than a day-to-day operation role that is the one that he has been having. And Fred, who has also a lot of experience in the industry, more than 29 years in the industry and has been one of the executive vice presidents of BBU, will lead the company starting June 1. This is a planned change, and one that we believe will strengthen our capabilities in the U.S. and allow us to move forward in our talents succession program. And I will let Fred answer the other part.

Alfred Penny
Relative to the question on promotional activity, I would say that, overall, the level of promotional activity that we saw in the market in the fourth quarter was probably consistent with the trends that we've seen. There was some price movement, but I would not characterize it as significant in terms of prior-quarter strengths.

Operator
Our next question comes from Fernando Ferreira with Bank of America Merrill Lynch.

Fernando Ferreira
First, I'd like to understand a little bit better this reclassification of the pension liabilities to financial expenses. Can you give us a color how much of this MXN 513 million were related to the U.S. and how much was related to Mexico, please?

Guillermo Jorge Quiroz Abed
The way the pension costs are treated from the accounting point of view on IFRS is that the annual cost of having the pension plans are divided into 2 main pieces. The first piece comes from the -- or comes exactly as a consequence of the actuarial assumptions. Basically, what you can think that people in general is 1 year older, 1 year closer to retiring, salaries might have some movements. Anything that it's related to the actuarial assumptions. Now there's another piece, which comes from the financial status of the plan. And basically, if you have old plans completely funded and if -- which is not our case, and if the actual performance of the asset is exactly the one assumed by the actuary, then the second would be 0. But it's not. So this MXN 500 million represents the financial -- within the overall cost of the pension funds, this is the financial cost of the plans. The difference with the past is that previously, the whole thing was registered as -- recorded as an operating expense without separating these 2 pieces I was referring to. So basically, that is what is happening. And about MXN 350 million of the MXN 500 million are related to the U.S. operation and about MXN 150 million are related to Mexican operation. I don't know if that was clear enough or not.

Fernando Ferreira
It was. But just wanted to be -- make sure I understand, this has nothing to do with the withdrawal from underfunded pension fund in the U.S., right?

Guillermo Jorge Quiroz Abed
No, it has nothing to do. It's a normal course of business thing, and it will happen again every year. And I will say before, the amount is going to be determined by the actual performance of the actuarial assumptions versus reality. And the actual performance of the asset performance. Nothing to do with the

[indiscernible].

Fernando Ferreira
Sure. And if you continue to withdraw from the funds, is that going to be considered financial expenses or operating expenses?

Guillermo Jorge Quiroz Abed
No. If we continue or if we withdraw from any other of the plans we are in, which we have not any actual plans to do so. We have to wait for how this whole thing develop. If we do, this would be a special charge as the one we had in 2012. And it's such a different thing. It's going to be completely operating. Remember that we have 2 lines. 1 is called profit before other expenses. It would not be there. It will be considered other expenses. So it would be impacting completely the operating line. Nothing with financial cost.

Fernando Ferreira
Perfect. And just last question. We saw during the year that Mexican sales have been decelerating in this quarter. You mentioned that volume growth was sort of flat as far as we understood. So I just wanted to understand what are your expectations for 2013 regarding the top line growth in Mexico?

Daniel Javier Servitje Montull
We had, I would say, a good year in terms of volume growth in the U.S., in Mexico. That's the way we see it. The reason for the sales deceleration is that we didn't have a comparable price increase this year versus last year. This year, we're expecting also a good year in terms of volume growth in Mexico. And we are-- we have good coverage of our wheat futures and with the appreciation of the peso in the coming -- in the past months, we're not foreseeing a great impact in prices in the year as of now. So that's our view of Mexico. Steady growth, probably a little bit less growth in volume than we had last year. And not a lot of price increases over the year. But we will be managing those closely as the year progresses.

Operator
Our next question is from Juan Lopez [ph] with BTG.

Unknown Analyst
I have some questions. The first one would be, are we likely to see further special charges from Brazil or restructuring charges, either in the operating segment or the tax income bracket? And the second one would be, if you can tell a little bit more on your hedging strategy. What percentage of wheat needs or any food needs you're covered for 2013? At which price? And the last question would be, if you can share us a guidance for CapEx for 2013?

Guillermo Jorge Quiroz Abed
I'll take the tax thing first. Unfortunately, as you know, the resource coming from Brazil are not the ones that we were expecting. So we have a big amount of intangibles taxes related to tax benefits. And in order to keep our books conservative, we decided to cancel, to write down about half of the amount of future tax as we cover within the Brazilian balance. So that basically represented about MXN 400 million, which -- this is a charge to our -- or this was a charge to our P&L tax line. And another big impact of about the same size comes from the fact that the first MXN 400 million I mentioned was a write down from previous losses. But also in order to be consistent, we are not creating intangible asset coming from this year losses and -- or 2012 losses. That would mean about another MXN 400 million. So basically, it's

MXN 800 million, the impact. Half of that comes from the cancellation of previously created assets. And the second half comes as a consequence of 2012 losses. I don't know if that's enough for you.

Unknown Analyst
Yes, that's great. Should we continue seeing any kind of impairment or reversal of tax income provisions?

Daniel Javier Servitje Montull
As we have looked into the business, we believe that we have been taking the necessary measures to reflect them in our accounting. And we're confident that this year definitely will be a much better year for Brazil than the previous one. Regarding the CapEx, our expectations are more or less in line with what we have at 2012 at around $500 million a year in the different businesses.

Guillermo Jorge Quiroz Abed
And regarding the commodity strategy, as you may know, we have a policy that we have to be hedged from 4 to 9 months. That's the policy. We cannot disclose the pricing on which we are hedged, neither the amount of or the percentage of the consumption that we need for every quarter.

Unknown Analyst
All right. And the last one was related to expenses you're likely to incur due to restructuring of operations.

Daniel Javier Servitje Montull
I believe that we have already answered that, that we've taken the necessary measures, and we also expect this to be a much better year in that regard.

Operator
Our next question is from Miguel Mayorga with GBM.

Miguel Mayorga
I have 2 questions. The first one is regarding the CapEx. From that $500 million that you mentioned, could you give us the breakdown by region? And the second question is, I was wondering if you could dip into the Lat Am business and what's happening there and when all expenses are expected to pay off. Could you give us, I don't know, a guidance for EBITDA for this year?

Daniel Javier Servitje Montull
Yes. On the CapEx, we basically have -- the larger amount will be in the U.S., and Mexico and Latin America will be more or less on the same levels, each of them. On the other question is our expectations for Lat Am. I will tell you that most of the countries had a good year and improve their profitability. When some of these markets are in difficult conditions, they perform accordingly. And our problem lies squarely at Brazil. And we have a lot of our resources focused in Brazil as a company. We are revamping our IT systems, specifically the ones that are focused on the small store channel so that we can operate more efficiently, and we can have the right controls and the right procedures so that whatever we do in that channel adds to the business. And that's where I would say that the focus for Brazil is. We're investing in Brazil as we speak, not only in these areas, we begin to increase our capacity in order to have a lower cost per unit in the main markets. And we have high expectations of the turnaround in Brazil. And I will be following them very closely. I don't know if I missed any other -- on the projections, we don't give projections by region.

Miguel Mayorga
Okay. And regarding the CapEx, could you give regarding the breakdown about which percentage or percent do you view the Mexico and Lat Am?

Armando Giner
Miguel, this is Armando. If you want, we can get back to you with more specific information about the CapEx, if it's all right with you.

Miguel Mayorga
Okay, yes.

Operator
Our next question is from Alex Robarts with Citi.

Alexander Reid Robarts
I guess 2 questions from me would be, first of all, just going back to Mexico. In the third quarter, you mentioned that you're going to kind of postpone the price increase into this year, and I can understand that that could explain part of the deceleration in sales that you alluded to earlier. But I guess it would be helpful for us if we could get a sense of how is the demand right now in Mexico for the sweetbreads versus the sweet and salty snacks versus the confectionery type of product. If you could give us some kind of sense of just how the sales behavior is as you come into this year. And I guess kind of what I'm trying to get at is that do you think it's fair to assume in this first half or even first quarter that we get an inflection point in your Mexican sales growth such we get kind of toward the high single-digit rather than this mid-single digit year-on-year growth rate that we're seeing now? So that's the first question. And the second one is more back to the MEPPs issue and I know it's difficult as far as disclosure and information here. But we understand the bakery and confectionery plan, which is the big one, is current -- it's still under restructuring. And it would be great if you could share with us any update vis-à-vis what the trustees are talking about and to the extent that we might have to see in this first half of the year you guys increasing your provision against potential withdrawals that aren't covered.

Daniel Javier Servitje Montull
Well, I'll take the volume question in Mexico. And let me tell you that, all in all, we had a strong quarter in the baking side, volume-wise and a weak quarter, volume-wise, in salted snacks and confectionery. But all in all, we grew our business and we foresee volume growth this year in line with what we had in 2012. So that's basically our take there. And we're adjusting prices where we can and where we have also opportunities on the commodity side. But I would say that it's going to be a year, volume-wise, in line with what we had in 2012 as we see the year unfolding. So that's my take on the first question. And Guillermo Quiroz will answer the second one.

Guillermo Jorge Quiroz Abed
This is something that we have to wait for to happen. Basically, the fund has been -- that is under restructure. We don't have any details about that. So basically, we have to wait. As you know, if we don't withdraw from any of the funds, this one included, it would not have any impact on our books. And there might be -- it might be conservative or wise to start giving provisions, but it's a bit difficult because we have -- really, we have no information. And even according to accounting principles, we would not be able to sustain any provision that is not based on any sound evidence. So the answer is no. We are not planning to withdraw, and we are still waiting for any information coming from the funds without any

actual plans to withdraw from that fund or any others.

Operator
Our next question is from Sambuddha Ray with JPMorgan.

Sambuddha Ray
I'm representing Alan Alanis of JPMorgan. The first question that I have is regarding the profitability in the Iberian businesses, specifically as to what margin levels should we expect from Iberia by the end of 2013. And the second question that I have is regarding an update on the Hostess liquidation and what role can Bimbo play to buy those assets, if any? And could you also give us an update regarding the legal action that was taken against flours in the light of this Hostess process? Those would be my questions.

Daniel Javier Servitje Montull
Okay. On the first question, let me tell you that Iberia, as you all know, it's in a difficult position. The market, it's tough pricewise. And we're revamping the brand and making it more accessible to consumers in Spain and Portugal. And we're showing good signs of our strategies there. But it's a difficult market. We knew about it. And our focus there is on strengthening the business for the long run. We have integrated our IT platform in Spain and Portugal. And we will need work -- to do work in the areas of logistics and manufacturing. And that's a process that will be occurring in the next 3 years. So that's our view in Spain. We have opportunities also of growing even in that market, but we need to deploy strategies to cover more of the unserved market in Spain. And that's going to be a gradual process. So all in all, the restructurings is continuing. We have good plans in place. And as I mentioned, early signs of rebound in our branded piece of the portfolio. But it's not going to be a business with high-growth, and we'll still have onetime charges there for restructuring our manufacturing footprint over the next 3 years.

Gary Prince
The question relating to the Hostess auction process. You know what? I believe we mentioned on previous calls that there may be some assets that could make some strategic sense for us. We continue to evaluate those assets as the process unfolds. But beyond that, I don't think we should be speculating on how that auction process may actually unfold. We'll just have to see how that plays out. Relative, I believe, the second part on question was on divestiture?

Sambuddha Ray
That's correct.

Daniel Javier Servitje Montull
Flours, the California divestiture.

Gary Prince
Yes. We're moving ahead with the divestiture as ordered by the court order, and we're moving forward.

Sambuddha Ray
I thought there was a filing, a motion that was filed, I mean, regarding the suspension on the transaction. So is there -- is it going through as was planned in November?

Gary Prince

The court ruled on that filing.

Operator
Next question is from Akshay Jagdale with KeyBanc.

Akshay S. Jagdale
I apologize in advance, I got on the call a little bit late. I wanted to ask about the Hostess liquidation, not about the auction process but what has happened. Can you just describe the impact that the liquidation has had on your business? Like what kind of volume pickup did you see in the U.S.? And what do you think about the sustainability of those share gains?

Gary Prince
Well, first, I'd like to comment on what our teams in the U.S. operations accomplished in a very short amount of time upon the Hostess exit. They worked tirelessly and did an unbelievable job in responding to what the marketplace needed when Hostess vacated markets, both for current and new customers. And it really was a tremendous piece of work, and it's a real testament to the people that we have. I would say if you would look at IRI data, our share improvements were in the range of 2 to 3 percentage points, which would be consistent with our overall share position in the market.

Akshay S. Jagdale
And how would you characterize the operating environment right now? What we are hearing is, like you said, I mean, the industry was in overcapacity situation but then went into, obviously, an under capacity situation. People in the industry were having issues running their machines hard enough, right? So that's what we're hearing, but how would you characterize the environment? Is it vastly improved or is it going to take time for pricing power to come back? And how do you envision that process playing out?

Gary Prince
I would say that we've been focused on our business and our ability to respond to the conditions in the marketplace, the changed conditions in the marketplace. And we've been able to respond to the market needs, consistent with what I mentioned on shares. I wouldn't speculate on what others in the industry have been able to do or not been able to do, and I think we'll have to see how things unfold as we go forward here. I would just say that this is uncharted territory for the industry at this time. And we'll have to see how the marketplace unfolds.

Operator
The next question is from Luis Miranda with Santander.

Luis Miranda Valenzuela
Just a follow-up on Brazil. Daniel, just with the turnaround process and the change in team management that you mentioned, how should we -- what should we expect on this process? Should we expect medium- to long-term improvement? Or have you already decided some areas that can deliver some relatively short-term improvements? What should we expect?

Daniel Javier Servitje Montull
The process -- I mean, we're tackling the turnaround on a few fronts. Some will yield some immediate benefits. And others, specifically the ones focused on developing the right sales to the depot structure and the sale systems and the training part will take time. So all in all, our goal is to have a much better

business this year. But it's still going to be a difficult year for Brazil but with a much better outlook at the end of the year. Having said that, we don't expect definitely the levels of the onetime charges that we incurred this quarter. So we certainly have a much better outlook of Brazil given the very bad quarter we had in 2012.

Operator
This concludes the questions-and-answer section. At this time, I'd like to turn the floor back to Grupo Bimbo for any closing remarks.

Daniel Javier Servitje Montull
Thank you, all, for your time today and please do not hesitate to contact us with any further comments or questions you may have. And we look forward to speaking with you soon.

Operator
Thank you. This does conclude today's presentation. You may disconnect your line at this time. Have a nice day.

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